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Red Wash acquisition — transaction and authority file

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Fictional authors: Martin Shaw, transaction lead; Mari Varela, operating sign-off; Henry Norwood, seller representative

Record origin: SYNTHETIC_COMPANY_RECORD | **Evidence state:** SYNTHETIC_RECONSTRUCTED transaction instrument summary

Decision state: LOCKED_CANON deal terms; LOCKED_DERIVED_IMPLEMENTATION paper-trail dates

Pale Sun Inc. purchases 100% of Red Wash Mining, LLC from Northstar Minerals, Inc. on July 18, 2025. Henry Norwood is NMI's long-tenured owner/CEO and principal seller. Martin Shaw executes the Sable Harbor-side transaction. Mari owns the technical/operating assessment; Evan develops the platform and commercial case. None of these roles is substituted for another.

Negotiation history and conditions

Available date	Reconstructed event	Documented consequence
2024-10-18	Mari's kill-study and source discrepancies enter the transaction review	No price based solely on headline contained pounds
2025-03-14	Seller re-trade exceeds the case supported by current diligence	Martin suspends price negotiation; Mari retains technical work product
2025-04-04	Sable Harbor walks away	No obligation to acquire; preserve seller/operating dissent
2025-05-16	Norwood returns with willingness to change risk allocation	Reopen only against reconciled asset/liability and rehabilitation schedules

Available date	Reconstructed event	Documented consequence
2025-07-11	Buyer approves final selected consideration and funded stabilization	Material environmental, contract and continuity conditions remain explicit
2025-07-18	Membership interests transfer; operator remains RWH	Qualified personnel, permits, contracts and assets remain inside the operating boundary

The acquisition does not sanitize East 12 continuity, variable metallurgy, tailings/water observations, closure omissions, maintenance backlog, fan/control redundancy, obsolete controls, assay/moisture timing, escalation errors, royalty step-up or title/easement defects. The [current casebook](#) and instruments preserve those items.

Closing consideration and accounting bridge

Operating assets \$42.0M plus current assets \$4.5M less ARO \$16.0M and other assumed liabilities \$2.5M equals \$28.0M identifiable net assets and \$28.0M cash consideration. Goodwill and transaction debt are zero in the selected case. The \$3.0M environmental/title escrow and \$0.5M holdback are portions of consideration, not additional purchase price: the reconstructed gross closing allocation is \$24.5M direct seller payment + \$3.0M escrow + \$0.5M holdback = \$28.0M.

The H2 2025 stabilization program is a separate \$11.0M: \$8.0M capitalized rehabilitation and \$3.0M repair/stabilization expense. It must not be confused with ARU's later, separate \$11.0M catch-up capital. The 2026 rehabilitation/sustaining budgets likewise follow the mine's source model rather than a duplicate acquisition-use line.

Instrument clauses and handover

The purchase instrument transfers the membership interests and preserves RWH as owner/operator. Disclosure schedules identify assumed liabilities and contract consent/notice status. Title/environmental claims use the dedicated Red Wash escrow; disputes do not permit silent netting against ARU's later escrow. The holdback is separately tracked against the identified transaction deliverables in the mine's instruments; this summary does not invent a released balance.

Operating authority passes to the buyer's retained mining organization at close. Norwood supplies records and transitional factual explanations without directing the mine. Cole remains site superintendent; Walt Sutter remains an external source. Hiring/retention and site-stop arrangements protect continuity without converting any person's memory into truth.

Selected resource, 2026 production, contracts and financial amounts reside in [RWH source](#). Their 2026 future periods retain forecast status. This historical close record does not claim that the entire 2026 plan was realized on July 18, 2025, or that the later ARU target was already a carrier/vendor.